NOMURA

Global Markets Research
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MediaTek 2454.TW 2454 TT

EQUITY: FABLESS

Market concerns overdone; maintain Buy

EMIB-T execution has been our concern, but not other Street concerns; 3Q earnings call could be a catalyst

Reiterate Buy rating and TWD5,800 TP; earnings call could be a share price catalyst

MediaTek (MTK)'s share price recorded a record-level rally in 2Q26, and a new high in 3Q26 (up 211% vs. TAIEX up 40% in Apr-May), but started seeing a correction into Oct-2026 (down 15% vs. TAIEX down 2% MTD). The correction was due to surging market concerns, particularly over its EMIB-T project (TPU v.9) yield and potential tape-out delay for v.9 chip. The share price dynamics from April appear to echo the way we expected it to materialize: we argued in our *March 2026 report* that the next two quarters (2Q-3Q26) are the best period for MTK to perform before we need to be concerned about TPU v.9 chip execution into 4Q26 (refer to "*After 2000 days..*"). In this report, we fine-tune our 2026-28 EPS by -2-6%, with unchanged Buy rating and TP of TWD5,800, still based on 25x 2027-28 average EPS (25x P/E is at the high end of its historical range; currently trading at 18x). While some Street concerns are reasonable, particularly those over EMIB-T yield, we believe concerns such as potential v.9 chip tape-out delay/ cancellation and likely share loss by MTK in v.10 are overdone. We believe MTK will clarify on these concerns at its 3Q26 earnings call on 30 Oct 2026, and this could become a share price catalyst after the recent 20-25% correction from Sept peak (down 20%+ vs. TAIEX down 2-3% from last Sept).

EMIB-T execution (for v.9) has been our real concern, but we give it benefit of doubt. Meanwhile, we see a clear improvement in chip level execution (from v.8 to v.9) and content value (from v.9 to v.10)

Three major Street concerns of late are: one, MTK launched a new v.9 project using CoWoS as a back-up plan. We believe there is no such project as MTK remains confident about its EMIB-T packaging progress. Two, TPU v.9 chip tape-out, planned to be launched by end-2026, is facing severe delay or likely cancellation risk. We do see some design issues regarding compute die (designed by Google [GOOGL US, Not rated]) from last one month which needs additional support from MTK. Even if there is a delay, we believe it can be managed within 1-2 months. However, based on TPU v.8 Google-MTK collaboration history, we believe: A) Google's design capability appears to have improved. We have seen three major tape-out delays for v.8 (*report*) but the v.9 delay this time (if any) is for the first time, and is likely manageable; B) their collaboration is likely getting tighter each time with MTK offering additional support. Three, investors are concerned that growing number of participants in TPU v.10 could affect MTK. This concern is premature, in our view, as MTK would address the v.10 opportunity depending on how successful the company's v.9 materializes. More importantly, the silicon content could have another major jump in v10 from v9 with SoIC process, node upgrade, more logic chips and larger footprint.

Year-end 31 Dec	FY25	FY26F		FY27F		FY28F	
Currency (TWD)	Actual	Old	New	Old	New	Old	New
Revenue (mn)	595,966	660,019	695,324	1,109,900	1,125,710	1,856,210	1,883,779
Reported net profit (mn)	105,319	108,834	115,442	245,659	241,416	495,999	496,019
Normalised net profit (mn)	105,319	108,834	115,442	245,659	241,416	495,999	496,019
FD normalised EPS	66.16	68.38	72.54	154.31	151.64	311.57	311.58
FD norm. EPS growth (%)	-1.1	3.4	9.6	125.6	109.1	101.9	105.5
FD normalised P/E (x)	63.6	–	58.0	–	27.7	–	13.5
EV/EBITDA (x)	49.4	–	44.9	–	22.7	–	11.2
Price/book (x)	16.8	–	14.9	–	11.2	–	7.5
Dividend yield (%)	1.3	–	1.4	–	2.9	–	5.9
ROE (%)	26.4	26.0	27.1	47.7	45.9	66.7	65.9
Net debt/equity (%)	net cash	net cash	net cash	net cash	net cash	net cash	net cash

Source: Company data, Nomura estimates

Rating Remains	**Buy**
Target price Remains	**TWD 5,800.00**
Closing price 19 October 2026	**TWD 4,205.00**
Implied upside	**+37.9%**
Market Cap (USD mn)	207,841.7
ADT (USD mn)	1,176.8

Relative performance chart



Source: LSEG, Nomura

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See Appendix A-1 for analyst certification, important disclosures and the status of non-US analysts.

Key data on MediaTek

Performance

(%)	1M	3M	12M		
Absolute (TWD)	-10.7	24.8	216.2	M cap (USDmn)	207,841.7
Absolute (USD)	-12.7	24.4	198.2	Free float (%)	68.8
Rel to Taiwan TAIEX Index	-10.6	14.4	143.6	3-mth ADT (USDmn)	1,176.8

Income statement (TWDmn)

Year-end 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
Revenue	530,586	595,966	695,324	1,125,710	1,883,779
Cost of goods sold	-267,200	-312,886	-376,013	-626,719	-1,059,557
Gross profit	263,386	283,080	319,311	498,991	824,221
SG&A	-28,981	-31,304	-36,815	-59,762	-100,006
Employee share expense	-131,993	-148,306	-169,976	-188,453	-197,155
Operating profit	102,412	103,470	112,520	250,776	527,061
EBITDA	123,348	126,444	138,033	272,533	544,783
Depreciation	-12,560	-13,336	-13,529	-11,352	-9,246
Amortisation	-8,376	-9,639	-11,984	-10,405	-8,475
EBIT	102,412	103,470	112,520	250,776	527,061
Net interest expense	10,696	10,167	9,285	8,959	12,616
Associates & JCEs	7,569	5,825	9,050	15,140	25,484
Other income	-1,159	5,426	1,417	1,986	3,270
Earnings before tax	119,519	124,888	132,272	276,861	568,431
Income tax	-12,378	-18,770	-15,767	-33,729	-69,551
Net profit after tax	107,141	106,118	116,505	243,132	498,880
Minority interests	-754	-798	-1,063	-1,716	-2,861
Other items	0	0	0	0	0
Preferred dividends					
Normalised NPAT	106,387	105,319	115,442	241,416	496,019
Extraordinary items	0				
Reported NPAT	106,387	105,319	115,442	241,416	496,019
Dividends	-86,070	-85,583	-92,354	-193,133	-396,815
Transfer to reserves	20,317	19,736	23,088	48,283	99,204
Valuations and ratios					
Reported P/E (x)	62.8	63.6	58.0	27.7	13.5
Normalised P/E (x)	62.8	63.6	58.0	27.7	13.5
FD normalised P/E (x)	62.8	63.6	58.0	27.7	13.5
Dividend yield (%)	1.3	1.3	1.4	2.9	5.9
Price/cashflow (x)	42.8	41.1	145.5	33.5	19.1
Price/book (x)	17.0	16.8	14.9	11.2	7.5
EV/EBITDA (x)	50.1	49.4	44.9	22.7	11.2
EV/EBIT (x)	59.6	59.7	54.4	24.5	11.5
Gross margin (%)	49.6	47.5	45.9	44.3	43.8
EBITDA margin (%)	23.2	21.2	19.9	24.2	28.9
EBIT margin (%)	19.3	17.4	16.2	22.3	28.0
Net margin (%)	20.1	17.7	16.6	21.4	26.3
Effective tax rate (%)	10.4	15.0	11.9	12.2	12.2
Dividend payout (%)	80.9	81.3	80.0	80.0	80.0
ROE (%)	27.8	26.4	27.1	45.9	65.9
ROA (pretax %)	22.8	21.8	20.8	37.8	64.0
Growth (%)					
Revenue	22.4	12.3	16.7	61.9	67.3
EBITDA	37.1	2.5	9.2	97.4	99.9
Normalised EPS	38.0	-1.1	9.6	109.1	105.5
Normalised FDEPS	38.0	-1.1	9.6	109.1	105.5

Source: Company data, Nomura estimates

Cashflow statement (TWDmn)

Year-end 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
EBITDA	123,348	126,444	138,033	272,533	544,783
Change in working capital	14,977	18,102	-83,916	-60,937	-159,957
Other operating cashflow	17,729	18,247	-8,105	-11,896	-34,274
Cashflow from operations	156,055	162,793	46,011	199,701	350,552
Capital expenditure	-13,771	-15,009	-24,773	-18,296	-18,296
Free cashflow	142,284	147,784	21,239	181,405	332,256
Reduction in investments	283	-69	-2,385	0	0
Net acquisitions					
Dec in other LT assets	0	-909	-348	0	0
Inc in other LT liabilities	0	0	0	0	0
Adjustments	-22,440	-21,766	-10,191	0	0
CF after investing acts	120,127	125,039	8,314	181,405	332,256
Cash dividends	-87,551	-86,070	-85,583	-92,354	-193,133
Equity issue	0	0	0	0	0
Debt issue	0	0	0	0	0
Convertible debt issue	0	0	0	0	0
Others	5,724	-7,375	17,085	0	0
CF from financial acts	-81,827	-93,445	-68,498	-92,354	-193,133
Net cashflow	38,300	31,594	-60,184	89,051	139,123
Beginning cash	165,396	203,696	235,290	175,106	264,157
Ending cash	203,696	235,290	175,106	264,157	403,280
Ending net debt	-200,074	-227,555	-149,192	-238,243	-377,366

Balance sheet (TWDmn)

As at 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
Cash & equivalents	203,696	235,290	175,106	264,157	403,280
Marketable securities	15,928	12,419	9,403	9,403	9,403
Accounts receivable	44,713	62,121	104,056	143,774	243,954
Inventories	58,414	67,235	125,371	175,757	303,684
Other current assets	28,274	20,392	23,198	23,198	23,198
Total current assets	351,025	397,456	437,134	616,289	983,519
LT investments	172,525	171,501	188,065	190,600	193,833
Fixed assets	56,917	60,427	74,090	81,034	90,085
Goodwill	0	0	0	0	0
Other intangible assets	82,257	80,262	91,449	81,043	72,568
Other LT assets	35,143	34,138	42,521	42,521	42,521
Total assets	697,868	743,785	833,258	1,011,488	1,382,525
Short-term debt	940	940	17,100	17,100	17,100
Accounts payable	40,777	48,710	69,480	98,648	166,798
Other current liabilities	225,186	253,700	251,891	251,891	251,891
Total current liabilities	266,902	303,350	338,471	367,639	435,789
Long-term debt	2,681	6,795	8,815	8,815	8,815
Convertible debt	0	0	0	0	0
Other LT liabilities	23,228	24,444	25,673	25,673	25,673
Total liabilities	292,812	334,590	372,959	402,127	470,277
Minority interest	8,428	8,594	8,451	8,451	8,451
Preferred stock	0	0	0	0	0
Common stock	16,017	16,039	16,039	16,039	16,039
Retained earnings	380,610	384,562	435,809	584,871	887,758
Proposed dividends					
Other equity and reserves					
Total shareholders' equity	396,627	400,601	451,848	600,910	903,797
Total equity & liabilities	697,868	743,785	833,258	1,011,488	1,382,525
Liquidity (x)					
Current ratio	1.32	1.31	1.29	1.68	2.26
Interest cover	–	–	–	–	–
Leverage					
Net debt/EBITDA (x)	net cash	net cash	net cash	net cash	net cash
Net debt/equity (%)	net cash	net cash	net cash	net cash	net cash
Per share					
Reported EPS (TWD)	66.92	66.16	72.54	151.64	311.58
Norm EPS (TWD)	66.92	66.16	72.54	151.64	311.58
FD norm EPS (TWD)	66.92	66.16	72.54	151.64	311.58
BVPS (TWD)	247.63	249.76	281.72	374.65	563.50
DPS (TWD)	53.66	53.36	57.58	120.41	247.40
Activity (days)					
Days receivable	34.6	32.7	43.6	40.2	37.7
Days inventory	69.4	73.3	93.5	87.7	82.8
Days payable	54.3	52.2	57.4	49.0	45.8
Cash cycle	49.7	53.8	79.7	78.9	74.6

Source: Company data, Nomura estimates

Company profile

MediaTek is the largest fabless semiconductor company in Taiwan. The company keeps developing leading-edge solutions for clients around the globe since it was established in 1997. Main product lines include smartphones, IoT, ASIC and connectivity/networking chips.

Valuation Methodology

Our TP of TWD5,800 is based on 25x our 2027-28F average EPS. Our target multiple of 25x is at its high end of historical range. The benchmark index for this stock is TAIEX.

Risks that may impede the achievement of the target price

Key downside risks include: 1) fierce price competition from Qualcomm and Spreadtrum; 2) the company's execution (i.e. a continuous rollout of good products in terms of specification, price and cost); 3) smartphone demand, especially in China and emerging markets, where MediaTek has higher revenue exposure; and 4) ASIC execution and competition.

ESG

MediaTek commenced its ESG engagement with six main aspects such as corporate governance and environmental management. The company also set a code of conduct to build its sustainable supply chain. About 80% of the company's suppliers will sign the code of conduct by 2021. Major aspects include labor/human rights and business ethics.

Financial analysis and forecasts

Fig. 1: MediaTek – 2026-28F forecast revisions

	2026F			2027F			2028F		
(TWD mn)	Revised	Previous	Diff	Revised	Previous	Change	Revised	Previous	Change
Net sales	695,324	660,019	5.3%	1,125,710	1,109,900	1.4%	1,883,779	1,856,210	1.5%
Gross profit	319,311	301,548	5.9%	498,991	491,756	1.5%	824,221	811,837	1.5%
OPEX	(206,791)	(195,130)	6.0%	(248,215)	(234,278)	5.9%	(297,160)	(280,410)	6.0%
Operating profit	112,520	106,419	5.7%	250,776	257,478	(2.6%)	527,061	531,427	(0.8%)
Net profit	115,442	108,834	6.1%	241,416	245,659	(1.7%)	496,019	495,999	0.0%
EPS (TWD)	72.54	68.38	6.1%	151.64	154.31	(1.7%)	311.58	311.57	0.0%
Margin	**Revised**	**Previous**	**Diff**	**Revised**	**Previous**	**Change**	**Revised**	**Previous**	**Change**
Gross margin (%)	45.9	45.7	0.2 pp	44.3	44.3	0.0 pp	43.8	43.7	0.0 pp
OPEX ratio (%)	(29.7)	(29.6)	-0.2 pp	(22.0)	(21.1)	-0.9 pp	(15.8)	(15.1)	-0.7 pp
Operating margin (%)	16.2	16.1	0.1 pp	22.3	23.2	-0.9 pp	28.0	28.6	-0.7 pp
Net margin (%)	16.6	16.5	0.1 pp	21.4	22.1	-0.7 pp	26.3	26.7	-0.4 pp

Source: Company data, Nomura estimates

Fig. 2: MediaTek – P&L

(TWD mn)	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26F	4Q26F	1Q27F	2Q27F	3Q27F	4Q27F	2025	2026F	2027F	2028F
Net sales	153,312	150,369	142,097	150,188	149,151	152,183	168,058	225,933	265,227	277,033	279,516	303,934	595,966	695,324	1,125,710	1,883,779
Gross profit	73,809	73,878	66,112	69,281	69,055	70,308	77,452	102,496	116,936	122,704	124,286	135,064	283,080	319,311	498,991	824,221
- OPEX	(43,756)	(44,499)	(43,924)	(47,431)	(46,165)	(47,440)	(52,617)	(60,570)	(59,169)	(61,803)	(60,959)	(66,284)	(179,610)	(206,791)	(248,215)	(297,160)
Operating profit	30,053	29,379	22,188	21,850	22,891	22,868	24,835	41,926	57,767	60,902	63,327	68,780	103,470	112,520	250,776	527,061
Pretax profit	34,553	33,228	29,960	27,147	27,019	27,962	29,421	47,870	63,816	66,941	69,967	76,137	124,888	132,272	276,861	568,431
Net profit	29,325	27,848	25,221	22,925	24,154	24,335	25,361	41,592	55,879	58,277	60,891	66,370	105,319	115,442	241,416	496,019
EPS (TWD)	18.43	17.50	15.84	14.40	15.17	15.28	15.92	26.11	35.08	36.59	38.23	41.67	66.16	72.54	151.64	311.58
Profitability	**1Q25**	**2Q25**	**3Q25**	**4Q25**	**1Q26**	**2Q26**	**3Q26F**	**4Q26F**	**1Q27F**	**2Q27F**	**3Q27F**	**4Q27F**	**2025**	**2026F**	**2027F**	**2028F**
Gross margin	48.1%	49.1%	46.5%	46.1%	46.3%	46.2%	46.1%	45.4%	44.1%	44.3%	44.5%	44.4%	47.5%	45.9%	44.3%	43.8%
- OPEX ratio	(28.5%)	(29.6%)	(30.9%)	(31.6%)	(31.0%)	(31.2%)	(31.3%)	(26.8%)	(22.3%)	(22.3%)	(21.8%)	(21.8%)	(30.1%)	(29.7%)	(22.0%)	(15.8%)
Operating margin	19.6%	19.5%	15.6%	14.5%	15.3%	15.0%	14.8%	18.6%	21.8%	22.0%	22.7%	22.6%	17.4%	16.2%	22.3%	28.0%
Pretax margin	22.5%	22.1%	21.1%	18.1%	18.1%	18.4%	17.5%	21.2%	24.1%	24.2%	25.0%	25.1%	21.0%	19.0%	24.6%	30.2%
Net margin	19.1%	18.5%	17.7%	15.3%	16.2%	16.0%	15.1%	18.4%	21.1%	21.0%	21.8%	21.8%	17.7%	16.6%	21.4%	26.3%
Q-Q	**1Q25**	**2Q25**	**3Q25**	**4Q25**	**1Q26**	**2Q26**	**3Q26F**	**4Q26F**	**1Q27F**	**2Q27F**	**3Q27F**	**4Q27F**	**2025**	**2026F**	**2027F**	**2028F**
Net sales	11.1%	(1.9%)	(5.5%)	5.7%	(0.7%)	2.0%	10.4%	34.4%	17.4%	4.5%	0.9%	8.7%				
Gross profit	10.2%	0.1%	(10.5%)	4.8%	(0.3%)	1.8%	10.2%	32.3%	14.1%	4.9%	1.3%	8.7%				
- OPEX	(4.0%)	1.7%	(1.3%)	8.0%	(2.7%)	2.8%	10.9%	15.1%	(2.3%)	4.5%	(1.4%)	8.7%				
Operating profit	40.4%	(2.2%)	(24.5%)	(1.5%)	4.8%	(0.1%)	8.6%	68.8%	37.8%	5.4%	4.0%	8.6%				
Net profit	23.3%	(5.0%)	(9.4%)	(9.1%)	5.4%	0.7%	4.2%	64.0%	34.3%	4.3%	4.5%	9.0%				
Y-Y	**1Q25**	**2Q25**	**3Q25**	**4Q25**	**1Q26**	**2Q26**	**3Q26F**	**4Q26F**	**1Q27F**	**2Q27F**	**3Q27F**	**4Q27F**	**2025**	**2026F**	**2027F**	**2028F**
Net sales	14.9%	18.1%	7.8%	8.8%	(2.7%)	1.2%	18.3%	50.4%	77.8%	82.0%	66.3%	34.5%	12.3%	16.7%	61.9%	67.3%
Gross profit	5.6%	18.9%	2.7%	3.4%	(6.4%)	(4.8%)	17.2%	47.9%	69.3%	74.5%	60.5%	31.8%	7.5%	12.8%	56.3%	65.2%
- OPEX	16.0%	19.7%	8.5%	4.0%	5.5%	6.6%	19.8%	27.7%	28.2%	30.3%	15.9%	9.4%	11.6%	15.1%	20.0%	19.7%
Operating profit	(6.6%)	17.7%	(7.0%)	2.0%	(23.8%)	(22.2%)	11.9%	91.9%	152.4%	166.3%	155.0%	64.0%	1.0%	8.7%	122.9%	110.2%
Net profit	(7.0%)	8.3%	(0.5%)	(3.6%)	(17.6%)	(12.6%)	0.6%	81.4%	131.3%	139.5%	140.1%	59.6%	(1.0%)	9.6%	109.1%	105.5%

Source: Company data, Nomura estimates

Fig. 3: Nomura forecasts vs Bloomberg consensus

	2026F			2027F			2028F		
(TWD mn)	NMR	BBG	Diff (%)	NMR	BBG	Diff (%)	NMR	BBG	Diff (%)
Net sales	695,324	668,457	4.0	1,125,710	1,177,016	(4.4)	1,883,779	2,262,857	(16.8)
Gross profit	319,311	306,668	4.1	498,991	523,054	(4.6)	824,221	972,191	(15.2)
Operating profit	112,520	108,257	3.9	250,776	256,952	(2.4)	527,061	581,180	(9.3)
Net profit	115,442	109,363	5.6	241,416	240,078	0.6	496,019	512,690	(3.3)
EPS (TWD)	72.54	69.14	4.9	151.64	145.90	3.9	311.58	320.65	(2.8)
margin	**NMR**	**BBG**	**Diff (pp)**	**NMR**	**BBG**	**Diff (pp)**	**NMR**	**BBG**	**Diff (pp)**
Gross margin (%)	45.9	45.9	0.0	44.3	44.4	(0.1)	43.8	43.0	0.8
Operating margin (%)	16.2	16.2	(0.0)	22.3	21.8	0.4	28.0	25.7	2.3
Net margin (%)	16.6	16.4	0.2	21.4	20.4	1.0	26.3	22.7	3.7

Source: Company data, Bloomberg Finance L.P., Nomura estimates

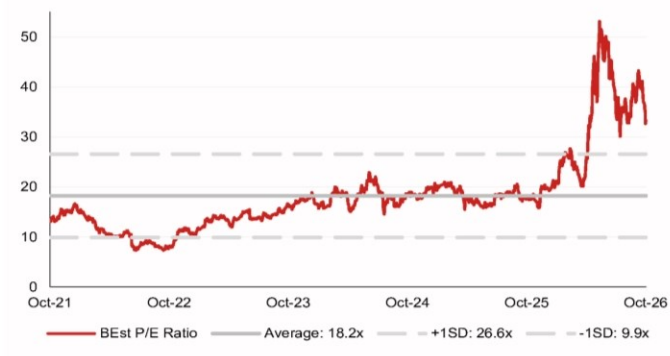
Valuation methodology and risks

Our TP of TWD5,800 is based on 25x our 2027-28F average EPS. Our target multiple of 25x is at the high end of MTK's historical range.

Key downside risks include: 1) fierce price competition from Qualcomm and Spreadtrum;

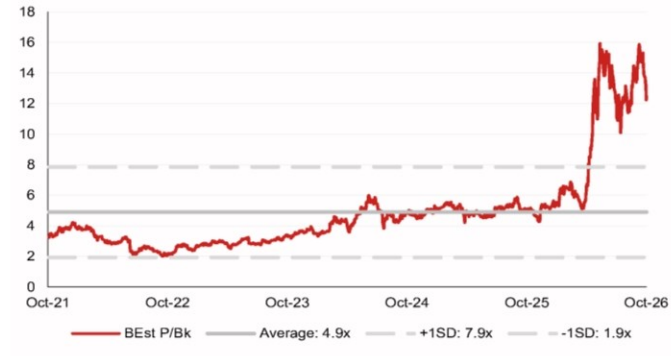
2) the company's execution (i.e. continuous rollout of good products in terms of specification, price and cost); 3) smartphone demand, especially in China and emerging markets, where MediaTek has higher revenue exposure; and 4) ASIC execution and competition.

Fig. 4: MediaTek's 5-year consensus P/E



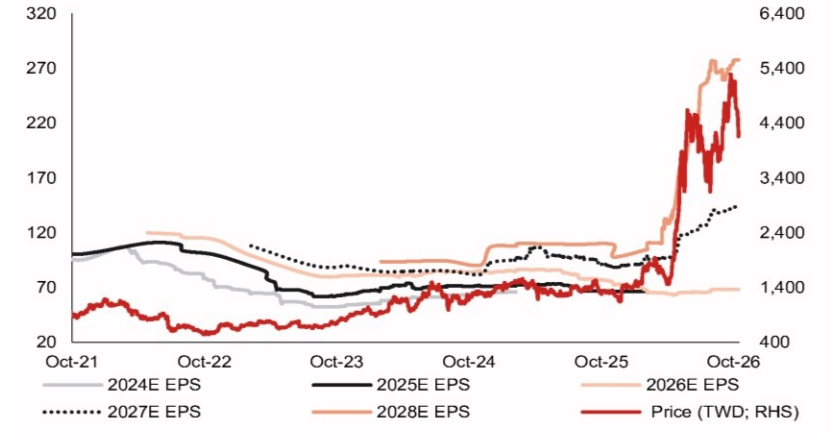
Source: Bloomberg Finance L.P., Nomura research

Fig. 5: MediaTek's five-year consensus P/B



Source: Bloomberg Finance L.P., Nomura research

Fig. 6: MediaTek's share price vs Bloomberg consensus EPS revisions



Source: Company data, Bloomberg Finance L.P., Nomura research

Appendix A-1

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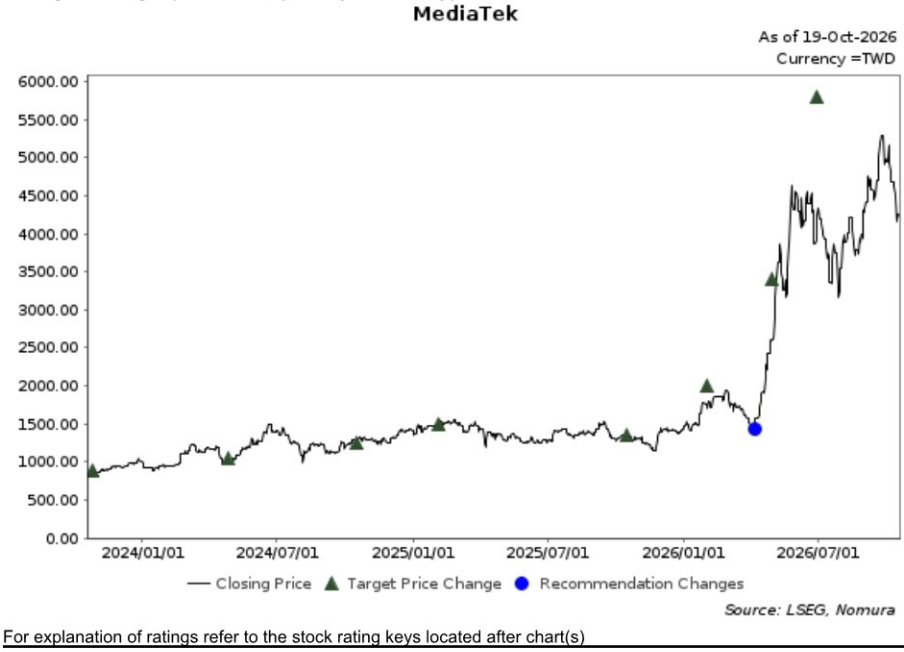
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Issuer	Ticker	Price	Price date	Stock rating	Sector rating	Disclosures
MediaTek	2454 TT	TWD 4,205.00	19-Oct-2026	Buy	N/A	

MediaTek (2454 TT) **TWD 4,205.00 (19-Oct-2026)** Buy (Sector rating: N/A)

Rating and target price chart (three year history)



Date	Rating	Target price	Closing price
30-Jun-26		5,800.00	4,245.00
30-Apr-26		3,400.00	2,610.00
30-Mar-26	Buy		1,510.00
01-Feb-26		2,000.00	1,760.00
16-Oct-25		1,350.00	1,330.00
05-Feb-25		1,500.00	1,525.00
17-Oct-24		1,250.00	1,275.00
26-Apr-24		1,040.00	1,005.00
27-Oct-23		890.00	801.00

For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology Our TP of TWD5,800 is based on 25x our 2027-28F average EPS. Our target multiple of 25x is at its high end of historical range. The benchmark index for this stock is TAIEX.
Risks that may impede the achievement of the target price Key downside risks include: 1) fierce price competition from Qualcomm and Spreadtrum; 2) the company's execution (i.e. a continuous rollout of good products in terms of specification, price and cost); 3) smartphone demand, especially in China and emerging markets, where MediaTek has higher revenue exposure; and 4) ASIC execution and competition.

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